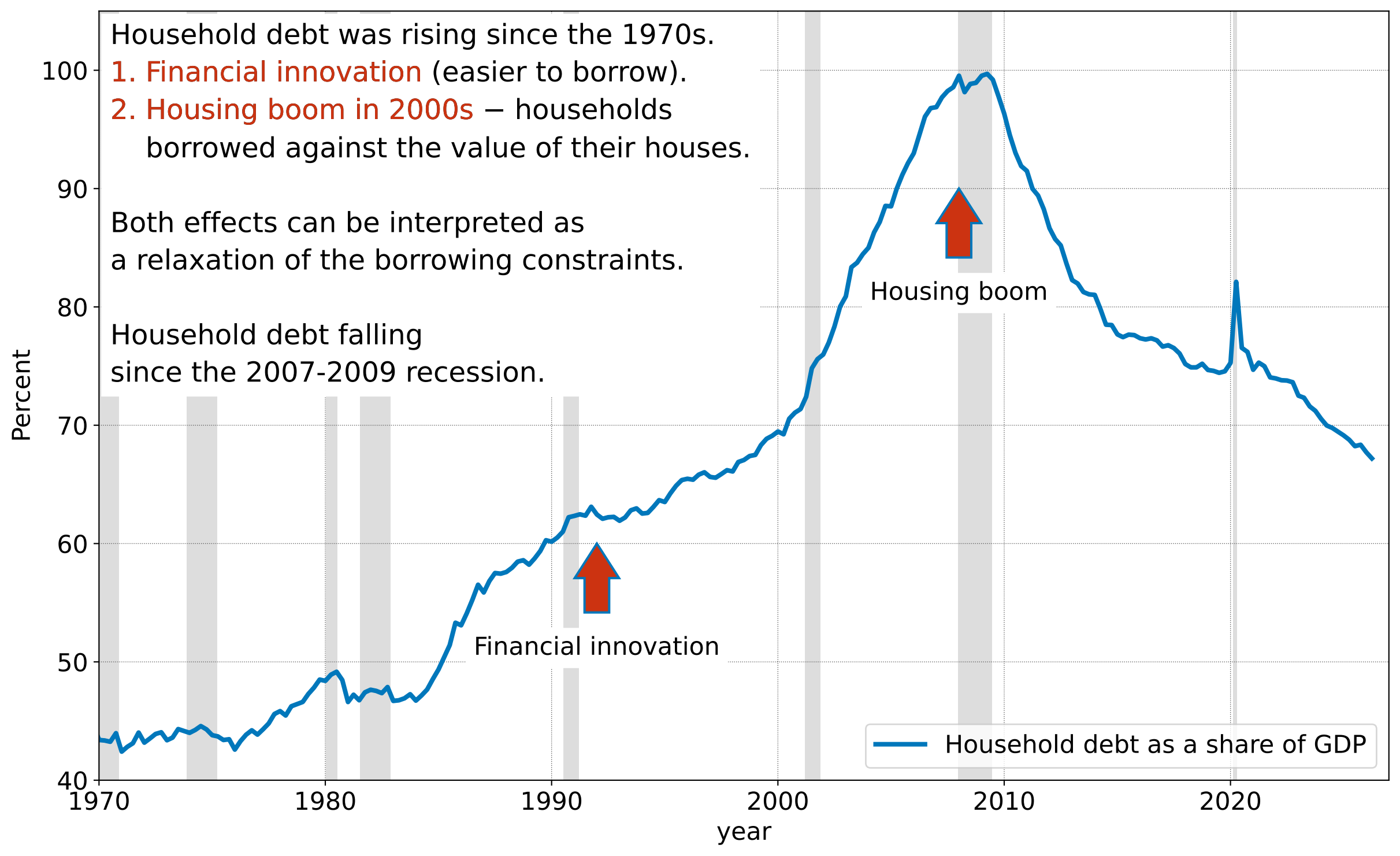
Household debt was rising since the 1970s.
1. Financial innovation (easier to borrow).
2. Housing boom in 2000s − households borrowed against the value of their houses.
Both effects can be interpreted as a relaxation of the borrowing constraints.
Household debt falling since the 2007-2009 recession.
Financial innovation
Housing boom
Household debt as a share of GDP
Percent
year
100
90
80
70
60
50
40
1970
1980
1990
2000
2010
2020